

Lesson 7 — Open to Buy (OTB)

How a fashion retailer controls future buying so inventory stays aligned with the sales and stock plan

What is OTB?

Open to Buy is the amount of additional inventory a retailer can commit to buy while still protecting the planned sales, stock and inventory position. It turns the merchandise plan into a buying control.

Think of OTB like a shopping budget. You have a sales target, you know how much stock you already have, and you know how much stock you want to finish with. OTB tells you how much additional inventory can be bought.

A simple OTB logic

OTB at retail = Planned Sales + Planned Closing Stock – Opening Stock – On-hand / already committed receipts

A common business formula may be expressed differently depending on whether the business includes planned receipts, commitments, markdowns, cancellations and other adjustments. Always use one agreed definition within the company.

Example

If planned sales are ■50 lakh, desired closing stock is ■20 lakh, opening stock is ■25 lakh and already committed receipts are ■10 lakh, illustrative OTB is ■35 lakh: ■50L + ■20L – ■25L – ■10L.

OTB at retail vs OTB at cost

OTB at retail describes the planned selling value of inventory. OTB at cost describes the purchase investment. If an illustrative cost-to-retail ratio is 30%, ■35 lakh retail OTB corresponds to ■10.5 lakh at cost. The ratio is a teaching assumption, not an industry benchmark.

Why OTB matters

OTB helps prevent over-buying when stock is already high and prevents under-buying when future sales require additional inventory. It also creates a disciplined conversation between planning and buying.

Monthly OTB process

1. Start with opening stock.
2. Add existing commitments.
3. Set planned sales.
4. Set desired closing stock.
5. Calculate OTB.
6. Compare OTB with actual orders.
7. Reforecast when sales or stock changes.

Illustrative OTB

Item	■ lakh
Planned Sales	50
Desired Closing Stock	20
Opening Stock	25
Committed Receipts	10
Illustrative OTB	35

Practical exercise

Use the Excel workbook to plan 12 months of OTB. Enter planned sales, desired closing stock, opening stock and committed receipts. Calculate retail OTB and convert it to cost using an input cost-to-retail ratio. Then enter actual orders and review the remaining OTB.

Key takeaway

OTB is the bridge between merchandise planning and buying. It answers a practical question: after considering sales, stock and existing commitments, how much more inventory can we buy?